

Group Case Analysis: Schlotzsky's

GROUP 2 - 11/26/25

Present: Nishi Dalia, Rachael Groysman,
Jack Feldman, Sai Venkat, Zack Zhang,
Andrew Moller
Absent: Junlin Chen

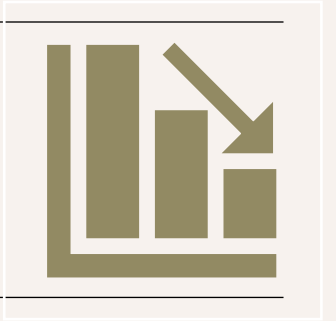


Introduction

- American franchise restaurant chain specializing in sandwiches and pizza
- Founded by Don and Dolores Dissman in Austin, Texas in 1971
- Famous for signature sandwich, "The Original" muffuletta-style, still a menu star today
- Operates 310+ locations across the U.S.
- Strong presence in the South
- Headquartered in Atlanta, Georgia



Decline



- Experienced major decline in the early 2000s due to:
 - weak leadership
 - poor franchisee relationships
 - minimal marketing investment
 - lack of sustainable brand values
 - After filing for Chapter 11 bankruptcy in 2004, the company changed ownership several times until Focus Brands Inc. (a franchising specialist) acquired it with the goal of rebuilding and expanding the franchise.
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Revival



- A major turnaround occurred when the company implemented a **sustainable marketing strategy** rooted in **Corporate Social Responsibility (CSR)** and **digital transformation**.
 - Under the leadership of Chief Marketing Officer Mark Mears, Schlotzsky's introduced:
 - mobile loyalty programs, data-driven marketing, simpler operations, stronger relationships with franchisees, and improved customer trust, especially during the COVID-19 pandemic.
 - The company's CSR-focused approach ultimately improved brand relevance, attracted younger generations, and differentiated Schlotzsky's in a competitive market.
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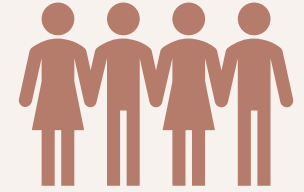
Challenges Faced

Challenge #1



- **Poor franchisee support and communication**
 - Franchisees reported that corporate staff hadn't visited locations for years and marketing funds were not being used effectively. Some even faced retaliation for refusing to open new stores.
 - **Why it was a challenge:** Franchisees are crucial in the fast-food or franchise model. When relationships are weak, operational consistency, brand image, and customer experience suffer. Lack of support meant that the stores couldn't perform well, leading to poor sales and confidence.
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Challenge #2



- **Frequent ownership changes and weak leadership**
 - Schlotzsky's changed hands multiple times from independent ownership to Bobby Cox Companies and then Focus Brands. Early leadership treated the company primarily as a cash-generating asset rather than a growing business.
 - **Why it was a challenge:** Frequent changes created instability, inconsistent strategy, and lack of a long-term vision. Employees and franchisees lacked a sense of community or purpose.
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Challenge #3



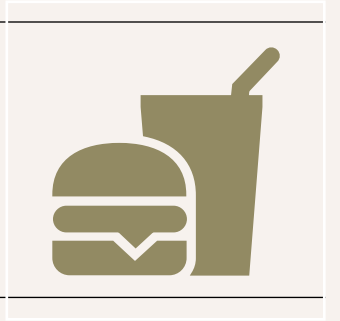
- Underperformance and bankruptcy
 - By 2004, the chain had filed for Chapter 11 bankruptcy due to poor financial management and lack of strategic focus.
 - **Why it was a challenge:** Bankruptcy harmed the brand's credibility and made attracting investors and franchisees difficult. It also highlighted the need for a strategic turnaround.
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Challenge #4



- Adapting to digital and social media trends
 - By the 2010s, traditional mass-marketing approaches, such as TV commercials or printed ads, were less effective as technology shifted marketing toward more personal engagement.
 - **Why it was a challenge:** Schlotzsky's had to quickly learn how to leverage mobile apps, social media, and data-driven marketing, which are skills the company had not previously prioritized. Without adapting, they risked losing relevance with younger customers.
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Challenge #5



- COVID-19 and changing consumer behavior
 - The pandemic created an urgent need for socially distanced, safe dining options and digital ordering solutions.
 - **Why it was a challenge:** Companies without fast delivery, curbside, or drive-through operations struggled to meet these demands. Schlotzsky's had to rapidly adapt operations to ensure safety while maintaining efficiency.
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Brand Strengths

Strength #1



- **Resilient and adaptive leadership**
 - **What happened:** After the buyouts, leadership from Bobby Cox Companies and later Focus Brands focused on strategic improvements, including supply chain efficiency, franchise relationships, and profitability.
 - **Why it was a strength:** Strong leadership brought stability, long-term vision, and the ability to implement sustainable marketing strategies. The company's leadership recognized the importance of CSR and digital transformation, which positioned them for growth.
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Strength #2



- **Emphasis on sustainable marketing and CSR**
 - **What happened:** Schlotzsky's focused on corporate social responsibility to rebuild relationships with franchisees and customers, while also addressing needs like safety and convenience.
 - **Why it was a strength:** CSR initiatives helped differentiate the brand, strengthen loyalty, and improve public perception. By connecting brand values with social and environmental responsibility, Schlotzsky's built credibility and long-term customer trust.
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Strength #3



- **Digital engagement and loyalty programs**
 - **What happened:** The Lotz4Me mobile app allowed the company to engage directly with customers, offering rewards, personalized offers, and feedback channels. Over 100,000 users joined in just three months.
 - **Why it was a strength:** Digital tools enabled data-driven marketing, improving relevance and personalization for younger consumers. It also created effective marketing outcomes, improving efficiency and Return on Investment (the amount of gain or loss generated from the money invested).
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Strength #4



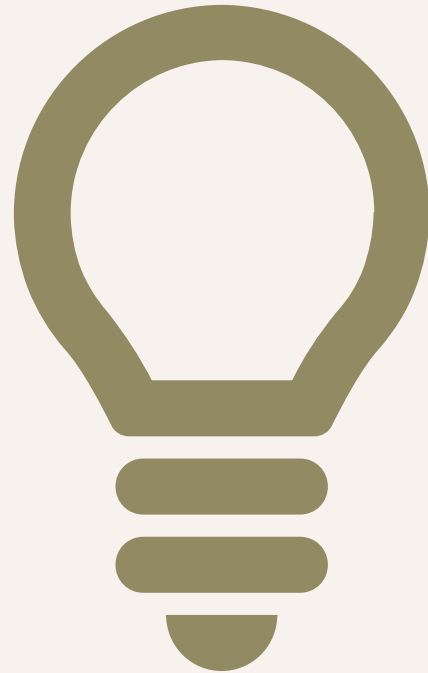
- **Operational innovation: drive-through, curbside, and streamlined menus**
 - **What happened:** Schlotzsky's optimized menu and service options for speed, convenience, and safety, including sticker closures to limit contact during COVID.
 - **Why it was a strength:** This enhanced customer confidence and satisfaction while meeting the "new normal" of socially distanced dining. It also allowed the brand to stand out against competitors who were slower to adapt.
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Strength #5



- **Brand differentiation and millennial focus**
 - **What happened:** Marketing strategies specifically targeted millennials, utilizing mobile platforms and marketing communications.
 - **Why it was a strength:** Millennials represent a large, influential consumer segment. By engaging them effectively, Schlotzsky's built a loyal and tech-savvy customer base, maintaining relevance in a competitive market.
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Our Suggestions



Strategic Suggestion



Strengthen long-term leadership stability

Example: After Bobby Cox Companies acquired Schlotzsky's in 2004, they focused on stable, hands-on leadership. They rebuilt franchise relationships, used the supply chain, and established a long-term growth vision.

This stability allowed Schlotzsky's to recover from bankruptcy and set the foundation for later digital and CSR initiatives. This shows that consistent leadership can reverse years of poor performance and create strategic growth.

Marketing Suggestion



Enhance personalization through digital tools

Example: The Lotz4Me rewards app allowed Schlotzsky's to provide personalized offers, rewards, and updates to over 100,000 members in just three months.

The app displays data to target customers to engage them in a more meaningful way than traditional mass marketing. This directly improved customer loyalty, engagement, and relevance with younger generations, showing how personalized marketing drives successful results.

Operational Suggestion



Continue optimizing drive-through and curbside services

Example: During COVID-19, Schlotzsky's implemented sticker closures on takeout boxes to limit contact and improve sanitation.

Combined with efficient drive-through and curbside services, this gave customers confidence and increased sales while competitors struggled. It demonstrates how operational adjustments met consumer needs for safety and convenience, reinforcing brand trust and loyalty.

Sustainability Suggestion



Expand charitable and community engagement

Example: Schlotzsky's family meal promotions encouraged family bonding and affordable meal solutions.

By supporting social needs (nutrition, affordability, family time), these campaigns connected the brand with positive social outcomes, aligning with CSR principles. This shows that CSR doesn't just improve public image, but it also creates emotional connections and tangible benefits for the community, enhancing customer loyalty.

Innovation and Differentiation Suggestion



Experiment with menu innovation aligned with social trends

Example: Introducing plant-based or healthier menu items, like sandwiches with locally sourced or organic ingredients, could attract health-conscious or environmentally aware consumers.

Comparable brands, like Panera Bread, successfully drew in new customers by offering cleaner and plant-forward options. Menu items that align with social and environmental trends differentiates the brand while meeting customer values, supporting both marketing and CSR goals.

Connections to Course Concepts



1. Corporate Social Responsibility (CSR)

CSR suggests that companies should operate ethically and contribute positively to society.

Schlotzsky's implemented CSR by:

- Strengthening franchisee relationships
- Providing safer dining options during COVID-19
- Offering family meal deals to support community needs
- Using sealed packaging to ensure trust and safety



2. Market Segmentation & Targeting



Schlotzsky's effectively segmented and targeted:

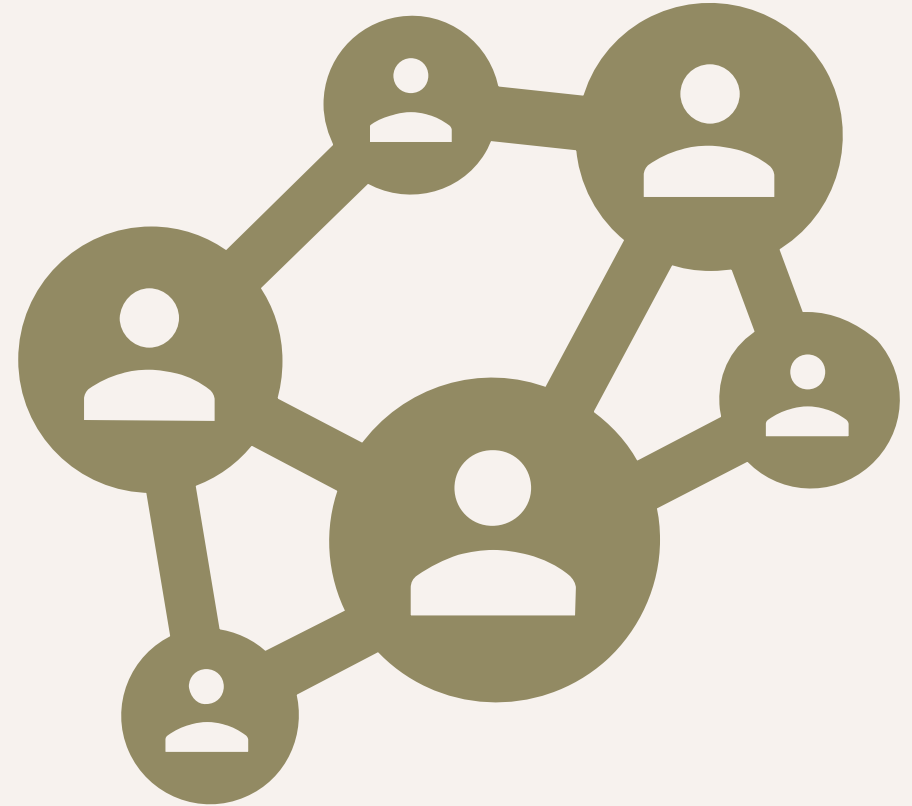
- Millennials and Gen Z through digital media and marketing
- Time-efficient consumers needing drive-through convenience
- **Families** seeking affordable and satisfying meals
- **Catering and group buyers** through box lunches and party trays for offices, schools, and events

3. Relationship Marketing

Relationship marketing focuses on creating long-term relationships with customers by prioritizing trust, loyalty, and engagement over quick transactions.

Schlotzsky's Lotz4Me app:

- Provides personalized deals based on customer preferences
- Points & perks earned for frequent purchases
- Free birthday reward
- Encourages repeat visits to drive customer return
- Builds connection through consistent communication



4. Franchising

Franchising is a business model where a company (the franchisor) allows independent owners (franchisees) to operate under its brand and system in exchange for fees and royalties.

- Schlotzsky's operates through franchise-owned restaurants rather than being company-owned.
- Franchisees pay initial fees and ongoing royalties to use the Schlotzsky's name, recipes, and system.
- Supports co-branding opportunities, like with Cinnabon
- Enables Schlotzsky's to expand nationwide and globally



5. Co-Branding

Co-branding focuses on combining the strengths of two established brands to create added value, attract new customers, and enhance brand equity through shared recognition.

Schlotzsky's + Cinnabon partnership:

- Focus Brands is the parent company of Schlotzsky's and Cinnabon
- Expands product offerings by pairing both signatures: sandwiches and cinnamon rolls
- Draws in Cinnabon's loyal customer base and Schlotzsky's menu
- Increases cross-selling opportunities (sandwich + dessert bundles)
- Reinforces brand differentiation by offering a unique combination competitors lack
- Strengthens both brands' equity



6. Product Mix

A product mix is the complete set of products and services that a company offers, including all product lines and variations.

Schlotsky's product mix:

- **Core sandwiches:** The Original sourdough sandwich plus variations (turkey, ham, roast beef, veggie)
- **Complementary items:** Personal pizzas, flatbreads, soups, and salads
- **Desserts & beverages:** Co-branded Cinnabon cinnamon rolls, cookies, and specialty drinks
- **Catering services:** Box lunches, party trays, and group meal packages for offices and events
- **Seasonal/limited-time items:** Rotating menu specials like the Summer 2025 BBQ menu
- **Customization options:** Gluten-free bread, premium add-ons, and combo meals



7. Marketing Mix: 4 P's



Product:

Most well-known for original sandwich (brand's signature product)

Expanded menu to include personal pizzas, soups, salads, sliders, and desserts like Cinnabon

Personalization for customers choosing add-ons, premium upgrades, and gluten-free options



Price:

Deals like medium pizzas starting at \$5 after 5pm Friday through Sunday

Frequent coupons and app-based rewards like BOGO pizzas every Wednesday and \$2.99 Original sandwich on Guest Appreciation Day

Value pricing to attract more customers

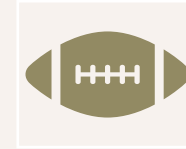


Place:

Franchise locations

Found in malls and outlets

Accessible beyond physical stores through delivery, catering, and the mobile-app



Promotion:

TV commercials

Creative campaigns on social media like the Fantasy Football "Original Team Name-Off" contest for fans to create team names inspired by Schlotzsky's sandwiches

Rewards app to communicate deals and promote the business

Creative sales promotions: short-term incentives to drive purchase

8. Competitive Advantage

Competitive advantage allows a company to outperform rivals by offering greater value, whether through cost efficiency, differentiation, or customer loyalty.

Schlotzsky's competitive advantage:

- **Signature Sourdough Bread:** Feature that differentiates sandwiches from competitors like Panera Bread and Subway.
- **Playful Marketing Style:** Makes the brand memorable and appealing to audience.
- **Co- Branding with Cinnabon:** Adds popular dessert options to attract a larger customer base
- **Menu Variety:** Customization to dietary restrictions or preferences and catering options
- **Rewards App and Promotions:** Builds loyalty and strengthens customer relationships



Thank You
